AUDITORS' REPORT



To the Shareholders of Corporate Foods Limited

We have audited the consolidated balance sheets of *Corporate Foods Limited* as at December 28, 1996 and December 30, 1995 and the consolidated statements of earnings, retained earnings and changes in financial position for the years then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with generally accepted auditing standards. Those standards require that we plan and perform an audit to obtain reasonable assurance whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation.

In our opinion, these consolidated financial statements present fairly, in all material respects, the financial position of the Company as at December 28, 1996 and December 30, 1995 and the results of its operations and the changes in its financial position for the years then ended in accordance with generally accepted accounting principles.

KPMG

Toronto, Canada,
February 27, 1997.

(Signed) KPMG
Chartered Accountants

CONSOLIDATED BALANCE SHEETS

(Thousands of dollars)



As at	December 28, 1996	December 30, 1995
Assets		
Current		
Cash	$ 824	$ 679
Accounts receivable	48,205	39,248
Due from related company (note 8)	3,920	—
Inventories	15,625	12,619
Prepaid expenses	3,030	2,872
	71,604	55,418
Investment in associated company	42,468	39,868
Fixed assets (note 2)	145,059	126,785
Goodwill	89,942	81,714
	$349,073	$303,785
Liabilities		
Current		
Bank indebtedness (note 3)	$ 5,615	$ 2,244
Accounts payable and accrued charges	68,259	50,774
Due to related company (note 8)	—	2,411
Dividends payable	1,280	1,280
Income taxes payable (recoverable)	1,434	(947)
Current portion of long-term debt (note 3)	181	—
	76,769	55,762
Long-term debt (note 3)	40,447	40,000
Loan from Parent Company (note 3 and 11)	3,531	3,618
Deferred income taxes	22,997	19,004
Minority interest	157	156
Shareholders' Equity		
Share capital (note 5)	35,631	35,631
Retained earnings	169,827	149,949
Unrealized foreign currency adjustment	(286)	(335)
	205,172	185,245
	$349,073	$303,785

See accompanying notes to consolidated financial statements

On behalf of the Board:



Director



Director

CONSOLIDATED STATEMENT OF EARNINGS

(Thousands of dollars, except earnings per share)



Years ended	December 28, 1996	December 30, 1995
Sales	$540,251	$478,201
Cost of sales, selling, distribution and administration	503,057	445,549
Earnings from operations	37,194	32,652
Interest expense (note 3)	3,033	3,497
Earnings before income taxes	34,161	29,155
Income taxes (note 6)	13,724	11,628
Earnings before the following:	20,437	17,527
Equity earnings from an associated company	4,600	4,550
Minority interest	(31)	(172)
Net earnings for the year	$ 25,006	$ 21,905
Earnings per common share (note 5)	$1.17	$1.04

See accompanying notes to consolidated financial statements

CONSOLIDATED STATEMENTS OF RETAINED EARNINGS

(Thousands of dollars)

Years ended	December 28, 1996	December 30, 1995
Retained earnings, beginning of year	$149,949	$133,108
Net earnings for the year	25,006	21,905
Dividends declared	5,128	5,064
Retained earnings, end of year	$169,827	$149,949

See accompanying notes to consolidated financial statements

CONSOLIDATED STATEMENTS OF CHANGES IN FINANCIAL POSITION

(Thousands of dollars)



Years ended	December 28, 1996	December 30, 1995
Operating Activities		
Net earnings for the year	$25,006	$21,905
Add (deduct) items not affecting cash:		
Depreciation	14,463	12,549
Amortization	2,403	2,138
Equity earnings from an associated company	(4,600)	(4,550)
Deferred income taxes	3,990	3,712
Minority interest	31	172
Changes in non-cash working capital	5,585	(10,679)
Cash provided from operating activities	46,878	25,247
Financing Activities		
Issue of share capital (note 5)	—	5,384
Increase in (repayment) of debt (note 3)	(124)	40,000
Increase in (repayment) of debt to Parent Company (note 3)	(98)	(32,308)
Dividends	(5,128)	(5,044)
Dividends paid to minority interest	(30)	(187)
Cash provided from (used in) financing activities	(5,380)	7,845
Investing Activities		
Additions to fixed assets	(22,791)	(19,352)
Deferred acquisition costs (note 7)	(662)	(778)
Acquisitions of net assets of business (note 7)	(23,271)	(11,056)
Dividends received from an associated company	2,000	2,500
Cash used in investing activities	(44,724)	(28,686)
Net increase (decrease) in cash during the year	(3,226)	4,406
Bank indebtedness, net of cash, beginning of year	(1,565)	(5,971)
Bank indebtedness, net of cash, end of year	$(4,791)	$(1,565)

See accompanying notes to consolidated financial statements

December 28, 1996 and December 30, 1995 (tabular amounts in thousands of dollars)



Corporate Foods Limited ("Corporate Foods" or the "Company") and all of its subsidiaries operate in a single industry consisting of the manufacture and sale of flour-based products, primarily bakery products. The fiscal year of the Company ends on the last Saturday of December. The fiscal years ended December 28, 1996 and December 30, 1995 are each comprised of 52 weeks. Corporate Foods is 69% owned by Maple Leaf Foods Inc. ("Maple Leaf" or the "Parent Company").

1. Significant Accounting Policies

Basis of presentation of consolidated financial statements

The accompanying consolidated financial statements are prepared in accordance with accounting principles generally accepted in Canada and include the accounts of Corporate Foods and its subsidiaries.

Inventories

Inventories, consisting primarily of ingredients and supplies, are valued at the lower of cost and replacement cost, as determined using the first-in, first-out method.

Fixed assets

Fixed assets are recorded at cost including, for major projects, incremental plant costs and interest capitalized during the installation process. Depreciation is recorded once the asset is in use and is calculated using the straight-line basis at rates designed to amortize the cost over their estimated useful lives as follows:

Buildings	$2\frac{1}{2}\%$ – 5%
Machinery and equipment	$7\frac{1}{2}\%$ – $33\frac{1}{3}\%$
Leasehold improvements	over the term of the lease

Investments

The Company owns a 25% interest in Multi-Marques Inc. of Québec which is accounted for using the equity method. The Company owns an 80% interest in CFL/MLF Financing Company, L.L.C. (a partnership) with Maple Leaf which is accounted for using the proportionate consolidation method.

Goodwill

The excess of the purchase price over the estimated fair value of identifiable net assets acquired represents goodwill. Goodwill is amortized substantially over forty years on a straight-line basis. The Company annually reviews the carrying value of goodwill to determine if an impairment has occurred. The Company measures the potential impairment of goodwill by comparing the undiscounted value of expected future operating income before income taxes, interest and amortization of goodwill to the carrying value of goodwill. Any permanent impairment in the value of goodwill is written off against earnings.

Translation of foreign currencies

The accounts of foreign subsidiaries are translated into Canadian dollars using the exchange rate in effect at the year end for assets and liabilities and the average rate for the year for revenues and expenses. Exchange gains or losses on translation are deferred and included as a separate component in shareholders' equity until realized.

Other monetary assets and liabilities denominated in foreign currencies are translated at year-end exchange rates; exchange gains and losses are recognized in current earnings.

Pension costs and obligations

The Company uses an accrued benefit actuarial method and best estimate assumptions to value pension obligations. Adjustments arising from past service benefits and experience gains and losses are amortized on a straight-line basis over the expected average remaining service lives of the employee groups. Current service costs are expensed in the year. Market related asset values are determined on a five-year moving average basis.

December 28, 1996 and December 30, 1995 (tabular amounts in thousands of dollars)



Financial instruments

The Company, in the normal course of business, enters into forward purchase contracts for the purpose of hedging certain raw material purchase commitments. The Company is also party to certain interest rate swap contracts (used to manage the exposure to interest rate cash flow risks) and forward foreign exchange contracts (used to manage foreign currency exposures on export sales). Inventory purchases are recorded at the contracted price. Payments and receipts under interest rate swap contracts are recognized as adjustments to interest expense on long-term debt. Gains and losses on forward foreign exchange contracts are recognized in the same period as the foreign currency revenues or outflows to which they relate.

Comparative figures

Certain comparative figures have been reclassified to conform with the financial statement presentation adopted in the current year.

2. Fixed Assets

	1996	1995
Cost		
Land	$ 9,796	$ 9,786
Buildings	41,388	37,939
Machinery and equipment	163,898	139,522
Construction in progress	6,058	3,467
	221,140	190,714
Accumulated depreciation		
Buildings	11,707	7,500
Machinery and equipment	64,374	56,429
	76,081	63,929
Net book value	$145,059	$126,785

Cost and accumulated depreciation of machinery and equipment under capital lease was $652,000 and $35,000, respectively.

3. Financing

The Company has available unsecured demand operating facilities of $48 million that bear interest at short-term market rates. Interest on short-term debt expensed during the year is $347,000 [1995 – $1,312,000].

The unsecured loan from the Parent Company outstanding at December 28, 1996 bears interest at floating market rates. Interest paid at the floating market rates in 1996 was $232,000 [1995- $1,718,000]. On January 2, 1997 the loan was repaid (note 11).

Long term debt

	1996	1995
Revolving term facility	$40,000	$40,000
Obligations under capital leases and other long term debt	628	—
	40,628	40,000
Less current portion	181	—
	$40,447	$40,000

In 1995 the Company entered into financing arrangements with two Canadian chartered banks that permit the Company to borrow up to $40 million on a 364-day committed basis through September 20, 1999. These facilities bear interest at short term market rates of interest, which including the interest rate swap averaged 6.14% [1995 – 6.46%]. The revolving period and term of expiry of the unsecured floating rate term loans may be extended annually.

Interest on long-term debt expensed during the year is $2,454,000 [1995 – $467,000].

December 28, 1996 and December 30, 1995 (tabular amounts in thousands of dollars)



4. Financial Instruments

Foreign currency risk management

The Company uses derivative financial instruments, primarily forward exchange currency contracts, to manage its currency exposures on export sales and expenditures denominated in foreign currencies.

At December 28, 1996 the Company had outstanding commitments to sell forward US$44,837,000 (1995 – $25,470,000) which cover periods maturing within 1 year. The market value of outstanding forward foreign exchange contracts at December 28, 1996 would result in an unrealized loss of $899,403 (1995 – gain of $507,885). The market values are estimated based on closing market prices.

Interest rate risk management

The Company uses interest rate derivative financial instruments to manage its exposure to interest rate fluctuations. The aggregate notional principal amount under the swap contracts is $15 million (1995 – $15 million). The fixed rate under these contracts in 1996 and 1995 range from 6.29% to 6.48%, with maturities of one year, subject to an extension for an additional term at the counterparty's option on notional principle of $10 million.

At December 28, 1996, the market value of the above interest rate contracts assuming termination of the contracts as at December 28, 1996, would result in a net payment of $245,757 (1995 – $307,868) due to reductions in market rates since these interest rate hedges were entered into. The market values are estimated by obtaining quotes from the Company's counterparties for the same or similar financial instruments.

5. Share Capital

	Unlimited Common Shares	
	Shares	Amount
Balance December 31, 1994	21,003,129	$30,247
1995 transactions:		
Issued for cash on exercise of options	38,000	384
Issued to Maple Leaf for acquisition	295,683	5,000
Balance December 28, 1996 and December 30, 1995	21,336,812	$35,631

The Board of Directors have approved the issue of stock options to certain members of the Company's management under the Incentive Stock Option Plan. Up to 940,000 shares may be issued under this plan. To date 637,000 options have been granted, of which 526,500 options have been exercised or cancelled. Options issued prior to 1994 may be exercised at any time and expire in 1997 and 1998. Options issued in 1994 vest equally over the next three years and may be exercised up to expiry in 2004. There are 110,500 options outstanding which may be exercised at a weighted average price of $17.04. Options to purchase 303,000 shares remain available to be granted in the future.

No significant dilution of earnings per common share would have resulted had all shares under the plan been issued.

December 28, 1996 and December 30, 1995 (tabular amounts in thousands of dollars)



6. Income Taxes

A reconciliation comparing income taxes (on earnings before income taxes excluding equity earnings from an associated company) calculated at the statutory rates to the amount provided in the accompanying consolidated financial statements is as follows:

	1996		1995	
Income taxes at combined statutory rates	$15,202	44.5%	$12,915	44.3%
Increase (decrease) in income taxes:				
Manufacturing and processing profits deduction	(2,235)	(6.5)	(1,789)	(6.1)
Goodwill amortization	862	2.5	796	2.7
Other	(105)	(0.3)	(294)	(1.0)
Total income taxes	$13,724	40.2%	$11,628	39.9%
Represented by:				
Current income taxes	$ 9,731		$ 7,923	
Deferred income taxes	3,993		3,705	
	$13,724		$11,628	

7. Acquisitions

During 1996, the Company completed the following transactions:

a) In April, the Company acquired the net assets of Bella Pasta Inc. of Stoney Creek, Ontario.

b) In May, the Company acquired the net assets of Venice Bakery Ltd. of Vancouver, British Columbia.

c) In October the Company acquired the net assets of West Coast Bakery Limited of Cornerbrook, Newfoundland.

d) Pursuant to the 1993 Brooklyn Bagel Boys, Inc. purchase agreement, a final deferred purchase payment of $662,000 was accrued in 1996 and included in goodwill (1995 – nil). The amount was paid in March 1997.

During August 1995, the Company acquired the remaining 40% interest of Circlet Foods Inc. of Concord, Ontario and the net assets and operations of the Tenderflake business from Maple Leaf Foods Inc.

The acquisitions are accounted for by the purchase method with the results of operations being consolidated with those of the Company from the dates of acquisition.

Details of the net assets acquired at assigned values are as follows:

	Acquired 1996	Acquired 1995
Net working capital	$ 4,181	$ (568)
Fixed assets	9,896	1,170
Goodwill	9,946	9,569
Minority interest and dividends	—	885
	24,023	11,056
Long term debt assumed	(752)	—
Total consideration	$23,271	$11,056

8. Related Party Transactions

a) A significant portion of the Company's sales to the U.S. and other export markets are through related companies during the normal course of operations and have been recorded at the exchange amount.

b) A significant portion of cost of sales represents flour purchases, a substantial portion of which are purchased from a related company during the normal course of operations and have been recorded at the exchange amount.

c) Purchases from and sales to an equity accounted affiliate in the normal course of operations totaled $39,000 [1995 – $146,000] and $221,000 [1995 – $198,000], respectively and have been recorded at the exchange amount.



d) Maple Leaf provides the Company with certain management services including access to bulk purchasing programs. Pursuant to a Management and Affiliation Agreement entered into in August 1995, the Company paid a management and affiliation fee of $1,888,000 (1995 – $654,000) to Maple Leaf which approximates the cost of providing these services. The Company also entered into a Management Services Agreement with Maple Leaf Foods USA Inc. (Maple Leaf USA), whereby Maple Leaf USA administered and supervised the management of the Company's U.S. operations commencing January 1996. The cost of providing this service was included in the management and affiliation fee. Both agreements were approved by the independent members of the Board of Directors.

9. Pension Plans

The Company maintains defined benefit pension plans which provide eligible employees with pensions based on length of service and/or average earnings. Contributions by employees to these pension plans, together with those made by the Company, are deposited with trustees according to the terms of the pension plans.

The approximate present value of accrued pension benefits at December 28, 1996 was $51,780,000 [1995 – $48,176,000]. The net assets of these pension plans, at market related values, were approximately $52,187,000 [1995 – $46,369,000]. The pension expense during the year was $1,311,000 [1995 – $1,511,000].

10. Commitments and Contingencies

The Company leases property and equipment under agreements which are accounted for as operating leases. Future minimum annual rental payments under these leases are as follows:

1997	$ 8,471
1998	6,234
1999	4,903
2000	3,136
2001	2,078
Thereafter	4,258
	$29,080

11. Subsequent Event

On January 2, 1997, the Company sold Brooklyn Bagel Boys, Inc. and its 80% partnership interest in CFL/MLF Financing Company, L.L.C. to Maple Leaf. Total proceeds of $USD $20.4 million (approximately $27 million) was received and resulted in a net after-tax gain on sale of approximately $4 million. The sale price was determined by a valuation conducted by an independent valuator and was approved by a committee of independent members of the Board of Directors. In connection with this transaction, the loan from the Parent Company of $3,531,000 outstanding at December 28, 1996 was repaid on January 2, 1997.